

existing definitions of start-ups and it will also help us (ecosystem stakeholders) ask the right questions,” he notes.

For Rajan Anandan, Managing Director of Peak XV Partners, the recommendation that is most exciting is the one calling on nations to invest \$1 trillion in start-ups by 2030. “This means that one per cent of every country’s GDP should be set aside for start-up funding [by 2030],” says Anandan who is part of the finance task force of Startup20. Industry estimates peg current annual investments at \$300–400 billion.

This vast sum, it was felt, would help fund companies that require ‘patient capital’ or start-ups where the gestation period of return on investment (ROI) is very long. Anandan says that companies that are IP-driven or operate in sectors such as semiconductors, spacetechnology, drones, etc., require “pools of capital”. Vaishnav echoes Anandan’s points and says most countries are still learning how best to support such start-ups.

IT’S JUST SUMMER

Another topic discussed in depth was the much-talked-about funding winter. “People were opposed to the idea of winter,” says Vaishnav. There has been a decline in 2023 compared with 2021, but there has been a significant uptick since 2016, argues Anandan.

Promoting sustainability, too, was of considerable interest in these discussions. “We have developed a screening framework for mapping Sustainable Development Goals (SDG)-focussed start-ups and measuring their real impact,” says Vaishnav.

Among the countries that have shown great interest in these initiatives is Canada. When BT caught up with Vikram Khurana,

THE CONSENSUS FRAMEWORK

Startup20 has come up with a definitional framework in its policy communiqué. It suggests that countries can define start-ups under the following framework: “A [legal entity] business that is operating for [age] with [size] and has a potential for [scaleability] through [innovation].” Countries can specify each of these criteria: for instance, whether the start-up is privately held or independent. The definition can also prescribe either the minimum or maximum number of years of operation. It can be based on the size in terms of employees or funding raised. And finally, in terms of scaleability or the kind of innovation involved.

—Bhavya Kaushal

Chairman of the Toronto Business Development Centre and member of the foundation and alliance task force, he called Startup20 historic.

“Significantly, this is the first time start-ups have been placed on the leaders’ agenda,” says Khurana. “Under India’s stewardship, there’s an ambitious effort to establish worldwide nodes to foster the exchange of best practices and forge alliances.” These nodes, he believes, serve as a central nervous system, ensuring streamlined connectivity between ecosystem players in different countries.

The forum has also had a more immediate impact. For Chandan K. Ghosh, founder of the start-up MiClient that makes client management software, a Startup20 meeting he attended provided answers to many issues he had grappled with. “I met start-up founders and investors from all over the world who helped me understand how my start-up can find custom-

ers abroad and partner with some international bodies. They also explained different initiatives taken by their governments and private organisations that help start-ups expand globally in their respective geographies. Initiatives like the Start-up Visa programme of Canada and the STEM+ Business Fellowship programme of Australia are some that stood out for me.”

Overall, 2023 promises to be a year to remember for India, which has the world’s third-largest start-up ecosystem. However, the real success of the initiatives will be measured once the G20 countries start internalising them. “Startup20’s recommendations are not mandates. Real success lies in people adopting them,” believes Vaishnav. But one indicator of success is Brazil’s decision to continue the track when it takes over the G20 presidency from India next year. **BT**

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